

Business Responsibility & Sustainability Report

Note: Vedanta Limited's primary disclosure document on its sustainability & ESG practices, performance is its Annual Sustainability Report, which is written in accordance with GRI standards. The company will be producing its 14th Sustainability Report in FY2022. Kindly refer to this report for detailed information on our sustainability and ESG performance. The report can be found at www.vedantalimited.com

Section B

MANAGEMENT AND PROCESS DISCLOSURES

Sr. No.	Disclosure Question	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Policy and management processes									
1	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	NA	Yes	NA
	b. Has the policy been approved by the Board? (Yes/No)	Yes	NO	NO	No	No	No	No	No	
	c. Web Link of the Policies, if available	https://vedantalimited.com/CorporateGovernance/Code%20of%20Business%20Conduct%20and%20Ethics.pdf	https://www.vedantaresources.com/InvestorRelationDoc/supplier_code_of_conduct_-_december_2016.pdf#:~:text=Vedanta%20Supplier%20Code%20of%20Conduct%20of%20Vedanta%20SAFETY%20%26%20applicable%20laws%20and%20regulations%20regarding%20working%20conditions.	https://www.vedantalimited.com/Media/VSFDocuments/Vedanta%20Sustainability%20Policies%202020/05-Social-2020-Published.pdf	https://www.vedantalimited.com/Media/VSFDocuments/Vedanta%20Sustainability%20Policies%202020/06-Human-Rights-2020-Published.pdf	https://www.vedantalimited.com/Media/VSFDocuments/Vedanta%20Sustainability%20Policies%202020/01-HSES-2020-Published.pdf	https://www.vedantalimited.com/Media/VSFDocuments/Vedanta%20Sustainability%20Policies%202020/05-Social-2020-Published.pdf			
2	Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	NA	Yes	NA
3	Do the enlisted policies extend to your value chain partners? (Yes/ No)	Yes	Yes	Yes	No	Yes	Yes	NA	NA	NA
4	Name of the national and international codes/ certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.		ISO 45001	NA	No		ISO 14001, ISO 50001	NA		NA
5	Specific commitments, goals and targets set by the entity with defined timelines, if any.	NA	NA	NA	NA	NA	SDR	NA	NA	NA
6	Performance of the entity against the specific commitments, goals and targets along with reasons in case the same are not met.	NA	Na	Na	Na	NA	SDR	NA	Na	NA
7	Statement by Director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)				SDRs					

Sr. No.	Disclosure Question	P1	P2	P3	P4	P5	P6	P7	P8	P9
8	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	In line with upholding our core commitment to Environmental, Social and Governance (ESG) priorities and business responsibility policies, the Board of Directors of the Company has approved the enhancement of the scope of the existing Board Sustainability Committee and upgraded it to Board ESG Committee with effect from July 26, 2021, to strengthen Board level rigor and advice into all aspects of ESG. The board of ESG committee like the erstwhile sustainability committee will report to highest governance body. As per updated Terms of Reference of the Board level ESG Committee, the Group HSE Head and ESG Director are permanent invitees to the Committee meetings. The Committee comprises of Mr. Upendra Kumar Sinha as the Chairperson; Members of ESG Committee are Mr. Akhilesh Joshi, Mr. Sunil Duggal and Ms. Priya Agarwal.								
9	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details	As per updated Terms of Reference of the Board level ESG Committee, the Group HSE Head and ESG Director are permanent invitees to the Committee meetings. The Committee comprises of Mr. Upendra Kumar Sinha as the Chairperson; Members of ESG Committee are Mr. Akhilesh Joshi, Mr. Sunil Duggal and Ms. Priya Agarwal.								
Questions		P1	P2	P3	P4	P5	P6	P7	P8	
12	If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:	NA	NA	NA	NA	NA	??	NA	NA	
	The entity does not consider the Principles material to its business (Yes/No)	NA	NA	NA	NA	NA		NA	NA	
	The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	NA	NA	NA	NA	NA		NA	NA	
	The entity does not have the financial or/human and technical resources available for the task (Yes/No)	NA	NA	NA	NA	NA		NA	NA	
	It is planned to be done in the next financial year (Yes/ No)	NA	NA	NA	NA	NA		NA	NA	
	Any other reason (please specify)	NA	NA	NA	NA	NA		NA	NA	



Sewage Treatment Plant at Udaipur

Principle 2

BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE

Sr. No.	Indicators	Response
2	a. Does the entity have procedures in place for sustainable sourcing? (Yes/No) b. If yes, what percentage of inputs were sourced sustainably?	Yes, the Company includes sustainable sourcing practices by intrinsically building the clauses related to HSE practices and positive affirmation on aspects preventing the use of child and forced labour in the contract Kindly refer to Vedanta Limited's FY2022 Sustainability Report for more information on this topic.
3	Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life, for	(a) Plastics (including packaging) Not Material to Vedanta's operation. All the plastic waste is disposed through certified third parties. (b) E-waste Not Material to Vedanta's operation. All the plastic waste is disposed through certified third-party agencies as per e-waste management and handling rules. (c) Hazardous waste Waste management in a safe and responsible manner is a crucial priority for our businesses. Vedanta's waste management system is built to handle waste in an efficient and responsible manner. The company is guided by 'The resource use and waste management' Technical Standard and supporting guidance notes, which are part of the Vedanta Sustainability Framework. The hazardous wastes comprise used/spent oil, waste refractories, spent pot lining and residual sludge from smelters. All the hazardous wastes are sent to government authorised handlers or recyclers. (d) Other waste. Waste management in a safe and responsible manner is a crucial priority for our businesses. Vedanta's waste management system is built to handle waste in an efficient and responsible manner. The company is guided by 'The resource use and waste management' Technical Standard and supporting guidance notes, which are part of the Vedanta Sustainability Framework. High volume- low-toxicity wastes are stored in tailings dams/ash-dykes or other secure landfill structures before being sent to other industries as raw materials – thereby recycling the waste stream. Other non-hazardous wastes are sent for recycling, disposed, or incinerated.
4	Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.	No



Captive Power Plant at HZL

PRINCIPLE 3

BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS

Sr. No.	Indicators	Response
3	Accessibility of workplaces Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard	The premises/offices where we have people with disabilities are equipped with enabling infrastructure such as ramp, walkways, braille enabled elevators, text to speech software for visually impaired, washrooms for people with disabilities, which are as per requirements of Rights of Persons with Disabilities Act 2016. As next step, we are working on a roadmap in accordance with the guidelines and Space Standards for Barrier Free environment for disabled persons, which will ensure standardised inclusive infrastructure
4	Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.	https://www.vgcb.co.in/public/testimonial/879b539cc9cc9d6bfcfe8d0e61143c36.pdf
6	Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief Permanent Workers	Yes/No (If Yes, then give details of the mechanism in brief) Yes. In Business Units like HZL, there are online Portal available where the employees can log their complaints and seek for resolution. There are dedicated HR SPoCs as well for resolving the grievances. Additionally, the unified HRMS system Darwinbox is on the way and it has a dedicated employee helpdesk portal, which will serve the purpose for the entire group, including business partners, when it is deployed in its entirety.
	Other than Permanent Worker	Yes, it is mandatory for our business partner to have a grievance redressal mechanism as part of the contract for its employees
	Permanent Employees	Yes. In Business Units like HZL, there are online Portal available where the employees can log their complaints and seek for resolution. There are dedicated HR SPoCs as well for resolving the grievances. Additionally, the unified HRMS system Darwinbox is on the way and it has a dedicated employee helpdesk portal, which will serve the purpose for the entire group, including business partners, when it is deployed in its entirety.
	Other than Permanent Employees	Yes, it is mandatory for our business partner to have a grievance redressal mechanism as part of the contract for its employees.
10	Health and safety management system a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system? b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity? Whether you have processes for workers to report work-related hazards and to remove themselves from such risks. (Y/N)	Yes, we have implemented a robust health and safety management system across our business. It is guided by Vedanta Sustainability Framework and is implemented as per the Vedanta Safety Standards (VSS) and other relevant standards and guidance documents. VSS is applicable to all the Vedanta operations including subsidiaries and acquisitions. All our operational facilities are certified with ISO 45001. Vedanta follows the Hazard Identification and Risk Assessment (HIRA) process along with Job Safety Analysis (JSA) for identification of risks and development of mitigation plan. These mitigation plans are periodically updated to ensure safety at workplace. All our sites have incident and hazard reporting procedures laid down to assist the workforce to highlight unsafe working conditions and remove themselves from such situations. A responsibility matrix is in place with site leadership driving the closure of such unsafe observations and risks.

Sr. No.	Indicators	Response
12	Describe the measures taken by the entity to ensure a safe and healthy work place.	Our safety culture is guided by a robust health and safety framework encompassing all activities across the organisation. A definite structure helps in implementing the framework. Vedanta Sustainability Framework (VSF) puts significant emphasis on Safety & Occupational Health. We have 17 safety performance standards and over 20 health and safety technical and management standards. We are proud that all our operational facilities are certified with ISO 45001 and align to ICMM guidelines and other applicable international occupational health and safety management systems. The robust framework, guided by our commitment to ensuring a reliable workplace, equips us to deal with setbacks that we face. In order to improve safety at workplace, in FY2022 we have initiated the implementation of Critical Risk Management. Under this initiative, 13 critical risks have been identified across the business, based on historical safety incidents and fatality learnings. A detailed mitigation plan is developed to minimise or eliminate each risk across the group. This program is led by the business CEOs from across the Group companies.
15	Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.	All the fatalities including high potential incidents undergo a detailed investigation using ICAM (Incident Cause Analysis Method) under the oversight of the Group CEO. A corrective action and preventive action (CAPA) plan is developed based on the findings of the investigation. The learnings are implemented across the group to avoid repeat incidents. The corrective actions are driven by site leadership of each location.

PRINCIPLE 4

BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS

Sr. No.	Indicators	Response				
1	Describe the processes for identifying key stakeholder groups of the entity	Our stakeholders are those individuals or organisations who have an interest in, and/or whose actions impact our ability to execute our strategy. We periodically engage with different stakeholder groups and actively respond to their concerns and issues. We refer to international standards like GRI and SASB to carry out stakeholder identification and materiality assessment at group level. Our facilities are guided by internal standards on stakeholder management (part of the Vedanta Sustainability Framework) to identify and engage with the local stakeholders. These standards are in line in line with IFC, UNGC and other global standards.				
2	List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group	Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
		Local Community	Mixed	- Community group meetings - Village council meetings, - Community needs/social impact assessments - Public hearings - Grievance mechanisms - Cultural events - Engaging with communities via various community initiatives of Vedanta Foundation	Continuous Connect	- Developing and undertaking need-based community projects - Increasing community outreach through our programs - Improving grievance mechanism for community

Sr. No.	Indicators	Response				
		Employees	No	- Chairman's workshops - Chairman's/CEO's town hall meetings - Feedback sessions - Performance management systems - Various meetings at plant level - V-Connect mentor program, - Event management committee and welfare committee - Women's club	Continuous Connect	- Improving training on HSES and other pertinent material issues for the organisation - Providing increased opportunities for career growth through internal talent recognition - Promote culture of care
		Shareholders, Investors, & Lenders	No	- Regular updates - Investor meetings - Site visits (put on hold in the last year due to COVID), - AGM and conference - Quarterly result calls - Dedicated contact channel – Vedantaltld.ir@vedanta.co.in and sustainability@vedanta.co.in	Quarterly and on case to case basis	Consistent disclosure on economic, social, and environmental performance. Spread awareness of the development in business with respect to business and ESG initiatives
		Civil Society	No	- Partnerships with, and membership of international organisations - Working relationships with organisations on specific projects - Engagement with international, national, and local NGOs - Conferences and workshops - Dedicated contact channel – sustainability@vedanta.co.in	As needed basis	- Expectation of being aligned with the global sustainability agenda - Commitment to ensuring human rights for all
		Industry (Suppliers, Customers, Peers, Media)	No	- Customer satisfaction surveys - Vendor scorecards - In-person visits to customers, suppliers, and vendor meetings (put on hold during COVID)	Continuous basis	- Consistent implementation of the Code of Business Conduct and Ethics - Ensuring contractual integrity
		Governments	No	- Participation in government consultation programs, - Engagement with national, state, and regional government bodies at business and operational level - Meet all the regulatory requirement laid down	Continuous basis	- Compliance with laws - Contributing towards the economic development of the nation

Our Board and Management

PRINCIPLE 5

BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS

Sr. No.	Indicators	Response
4	Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/ No)	Yes, we have Social Performance Steering committee (SPSC) at all out sites, which is responsible to drive local stakeholder engagement, grievance mechanism and human rights impacts associated to our business operations.
5	Describe the internal mechanisms in place to redress grievances related to human rights issues.	All our sites have a Social Performance Steering Committee (SPSC), which is responsible to drive all the social performance related standards including grievance mechanism at site to local stakeholder and human rights related issues. Grievance system at Vedanta sites are guided by Technical Standard and Guidance note on Grievance Mechanism which are part of Vedanta Sustainability Framework (VSF). These standards are in line with IFC Performance Standards and other global best practices.
7	Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases	ICC or internal complaints committee is in place to handle sexual and non-sexual harassment (bullying, discrimination) – which has a mixture of internal and external members from relevant mix of backgrounds. For sexual harassment there were already a set criterion in place for handling those (https://www.vedantalimited.com/CorporateGovernance/policy_on_prevention_and_prohibition_of_sexual_harassment_final.pdf). The additional provision of non-sexual harassment redressal has been added this year. Sensitisation and training will be provided to all the employees in coordination with HR and other functions.
8	Do human rights requirements form part of your business agreements and contracts? (Yes/No)	Yes

PRINCIPLE 6

BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT

Sr. No.	Indicators	Response
2	Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any	Our Aluminium Business (Balco, Vedanta Ltd Jharsuguda) and our IPP's (TSPL, Vedanta Ltd Jharsuguda IPP and Balco IPP's) are designated consumers. The targets set under PAT scheme have been achieved by all these sites.
4	Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.	We have a long standing zero waste and zero discharge vision. We understand the role we play as an organisation in ensuring that we do not have any negative impact on the environment.
7	Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details	Yes. Vedanta has committed to become a “Net Zero Carbon organisation by 2050 or sooner” and we have several projects to decarbonise our operations. Some of the major GHG emissions reduction projects are undertaken in FY2022 are: 1. Biomass firing in our power plants 2. Pot graphitisation project at Vedanta Jharsuguda and BALCO 3. Turbine revamping in HZL (5 turbines) 4. Vedanta Jharsuguda has purchased ~ 2 Billion units of green power in FY2022 5. Planned turbine revamping to improve SHR at BALCO and VAL Jharsuguda
9	Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.	Waste management in a safe and responsible manner is a crucial priority for our businesses. Vedanta’s waste management system is built to handle waste in an efficient and responsible manner. The company is guided by ‘The resource use and waste management’ Technical Standard and supporting guidance notes, which are part of the Vedanta Sustainability Framework. These standards are in alignment with the national Hazardous Waste Management Rules, 2016. The hazardous wastes comprise used/spent oil, waste refractories, spent pot lining and residual sludge from smelters. All the hazardous wastes are sent to government authorised handlers or recyclers.

	S. No	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any
10	1	Vedanta Lanjigarh (Lanjigarh, India)	Alumina Refinery	Yes
	2	Skorpan Zinc (Rosh Pinah, Namibia)	Mining	Yes
	3	Black Mountain Mines (Gamsberg, South Africa)	Mining	Yes
If the entity has operations/offices in/ around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format				

	S. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
12	1	Nil	Nil	At Hindustan Zinc Limited (HZL), the National Green Tribunal (NGT) directed the company under the Precautionary Principle to spend INR 25 crores towards communitywelfare programmes.	NGT has accepted HZL review petition for allowing to spend the funds under the CSR program and directed to joint committee to submit the action taken report.
Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:					

PRINCIPLE 7

BUSINESSES, WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT

	S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
2	b.	List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.	
		1 Federation of Indian Mining Industries	National
		2 Confederation of Indian Industry	National
		3 Indian Institute of Metal	National
		4 Federation of Indian Chambers of Commerce & Industry	National
		5 Mining Engineers Association of India	National
		6 Federation of Indian Petroleum Industry	National
		7 Association of Oil and Gas Operators	National
		8 Indian Steel Association	National
		9 ASOCHAM India	National
		10 Aluminum Association of India	National